

**Time:** 4 minutes**Outcome:** Predict behavioral responses and unintended consequences created by incentives.**Difficulty:** ●○○ Beginner

Incentives



THE CORE IDEA

Incentives change the expected benefits or costs of a choice, so they can alter behavior at the margin. A congestion fee raises the cost of the next downtown trip. Incentives can be monetary or nonmonetary, and different people may respond differently. A reward can also improve a measured result while harming the underlying goal.



HOW TO RECOGNIZE IT

- A toll changes the cost of driving and can change travel choices.
- A reward raises the benefit of an action, even when the reward is not money.
- A policy can change behavior in unintended ways; consider the incentives it creates.



WATCH OUT

A common mistake is to define incentives as cash payments or guaranteed behavior. An incentive changes the expected payoff to a choice; it may be monetary or nonmonetary, and people can respond differently.



WORKED EXAMPLE: RESPONDING TO INCENTIVES

A city adds a \$4 congestion fee for a rush-hour trip. Assume other trip costs are already deducted from each driver's benefit. A driver with a remaining benefit of \$3 avoids the trip because the fee exceeds that benefit. A commuter with a remaining benefit of \$10 still travels. The fee changes choices at the margin without making every driver respond alike.



CHECK YOURSELF

A neighborhood app awards a visible badge for weekly recycling. Participation rises among users who value recognition but barely changes for others. What is the best interpretation?

**READY?**

Return to the game and master this concept.